

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

FORMUKLEEN, INC., *Complainant*

v.

TOP SHIPPING SYSTEMS, CORP., *Respondent*.

DOCKET NO. 25-08

Served: July 14, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER DENYING COMPLAINANT’S MOTION TO EXTEND DISCOVERY AND REMAINING DEADLINES

On July 9, 2026, Complainant filed Complainant’s Motion to Extend Discovery and Remaining Deadlines. (the “July 9, 2026, MTE”). In it, Complainant asked to revive the deadline for submission of additional discovery requests, and to extend the remaining deadlines. Complainant asserts that this motion is necessary because of Respondent’s failure to produce discovery. (July 9, 2026, MTE, at 1-3).

On July 13, 2026, Respondent filed Respondent’s Opposition to Complainant’s Motion to Extend Discovery and Remaining Deadlines (“July 9, 2026, MTE Opp.”). In it, Respondent argued that discovery should not be extended because it has been cooperative throughout this proceeding, and Complainant has not shown good cause. Respondent also raised concerns about depositions that were taken in recent weeks. (*See generally* July 9, 2026, MTE Opp.).

The Complaint in this case was filed and served in June 2025, and discovery commenced a year ago. This is not a highly-complex case; instead, it turns on a straightforward issue – namely whether Respondent was acting as an NVOCC regarding the shipment of two containers. Discovery, however, has not gone smoothly. As discussed below, due to a lack of cooperation and diligence, the parties apparently did little discovery for the first four months this case was pending. From there, discovery went slowly due to a lack of communication between the parties and lack of diligence. Indeed, Complainant did not ask for third-party document subpoenas to be issued until two-and-a-half-weeks after the deadline to issue additional discovery requests, and two days before discovery cut-off. Complainant now wants more time for discovery. But, Complainant has had ample opportunity to conduct discovery, and the discovery deadline has already been extended several times. While Complainant alleges discovery misconduct by Respondent, Complainant’s own discovery conduct has not been ideal. It is now time to move on from discovery towards a resolution of this matter. Therefore, the July 9 MTE is **DENIED**. The deadlines set forth in the June 12, 2026, Order Extending Deadlines (the “June 12, 2026, Order”) remain operative.

I. BACKGROUND

A. Commencement of Litigation and Motion for Summary Judgment

Complainant filed the Complaint with the Commission on June 9, 2025, which the Office of the Secretary served on Respondent on June 17, 2025. (Notice of Filing of Complaint and Assignment). In its Complaint, Complainant alleges that it had goods imported in two separate containers. (Complaint, ¶¶ 4.1-4.2). Complainant allegedly instructed Respondent, who is registered with the FMC as a non-vessel-operating common carrier (“NVOCC”), and who “coordinated transportation and logistics services” for Complainant, to have the containers delivered to Complainant’s warehouse. (Complaint, ¶ 4). Respondent, however, allegedly held onto the containers and their contents because of past-due payment from Complainant. (Complaint, ¶¶ 2, 4.1-4.2). The Complaint alleges that Respondent violated 46 U.S.C. §§ 41102(c), 41102(d)(B), 41104(a)(4)(E), and 41104(a)(10), as well as 46 C.F.R. § 515.32. (*See generally* Complaint).

On July 16, 2025,¹ Complainant filed Complainant’s Motion for Summary Judgment (“MSJ”). After it was fully briefed, I denied the MSJ because I found that discovery was needed to resolve several questions of fact as to whether Respondent was acting as an NVOCC. (*See* Order Denying Motion for Summary Judgment, at 7-8 (“MSJ Order”)). In particular, I wrote:

In addition, there are other facts that are unknown, which could clarify whether Respondent acted as an NVOCC for purposes of this matter. For example, there is no indication that Respondent here purchased transportation services, such as cargo space, from a common carrier and offered it for resale, or paid port-to-port charges, or entered into any agreement with the underlying shipper, who was apparently HGA. (*See* 46 C.F.R. § 515.2(k)(1), (2), and (3)). Likewise, while Respondent is a registered NVOCC, there is no information in the record regarding how Respondent holds itself out as an NVOCC, *e.g.*, there is no information about advertising it does, nor is there any tariff information. (46 U.S.C § 40102(7)(A) (stating that a “common carrier” is a person that “holds itself out to the general public to provide transportation by water” of “cargo. . . .”)).

(MSJ Order, at 7). Because discovery was still pending, I stated that the MSJ was denied without prejudice. (MSJ Order, at 8).

B. Commencement of Discovery

In a Joint Status Report (“JSR”) filed by the parties on July 23, 2025, the parties reported they exchanged initial disclosures in mid-July 2025. (*See* JSR, at 2). On July 23, 2025, I issued a Scheduling Order (the “July 23, 2025, Order”). In relevant part, it provided that initial discovery

¹ Complainant filed a procedurally defective version of the MSJ; the date in the main text refers to the date Complainant filed a procedurally proper motion.

requests were due August 15, 2025, responses to initial discovery requests were due September 15, 2025, and discovery cut-off was December 5, 2025. (July 23, 2025, Order, at 1-2).

Although the Office of Administrative Law Judges (“OALJ”) was unavailable from October 1, 2025, through November 12, 2025, due to a lapse of funding, the parties were directed to continue working on their case. (Order Granting Joint Motion for Protective Order, and Granting in Part Motion to Extend Discovery and Case Deadlines (the “November 21, 2025, Order”), at 2). Despite this instruction, the parties conducted no discovery during that time period, apparently because they were unable to cooperate and reach an agreed-upon protective Order. (November 21 Order, at 2). Nevertheless, I extended the discovery deadline until March 23, 2026, although I warned the parties that due to the lack of cooperation, any future motion for extension of time may not be granted. (November 21 Order, at 2-3).

C. Motion to Compel

On March 9, 2026, Complainant filed Complainant’s Combined Motion to Exceed Page Limits and to Compel Reasonable Discovery (“MTC”).

On March 19, 2026, I held a status conference with the parties to discuss the remainder of the case. (See March 20, 2026, Order Following Status Conference (the “March 20, 2026, Order”). In relevant part, the March 20, 2026, Order stated that further discovery was likely necessary, and extended discovery until May 22, 2026. (See *generally* March 20, 2026).

After the MTC was fully briefed, I issued the Order Granting in Part and Denying in Part Respondent’s Motion to Dismiss, Granting in Part and Denying in Part Complainant’s Motion to compel, and Requiring Respondent to Provide a Declaration (the “April 1, 2026, Order”). Of relevance to the present order, I granted the MTC in relation to Requests for Production (“RFP”) Nos. 4 and 7. Those RFPs provide:

4. All TSS communications with parties other than FormuKleen relating to all FormuKleen shipments managed by TSS, including the subject shipments.

7. All records of duties, drayage, warehousing, storage, port-related, or other charges paid or advanced by TSS on behalf of FormuKleen for any shipment in addition to the subject shipments.

(April 1, 2026, Order, at 10). Although Respondent objected to these two RFPs as being overly broad, I concluded, based on Commission guidance, that documents that show how Complainant and Respondent interacted in the past, and how Respondent interacted with third-parties, can be relevant. (April 1, 2026, Order, at 11). I ordered Respondent to produce a sworn declaration that described its databases where it stores information, and described the searches it conducted. (April 1, 2026, Order, at 14).

On April 29, 2026,² Respondent provided to Complainant a sworn declaration in response to the April 1, 2026, Order that described Respondent's databases, and searches it performed. (*See Declaration of Ricky Villena*).

D. Motions to Enforce

On May 11, 2026, Complainant filed Complainant's Motion to Enforce April 1, 2026 Order as to Request for Production Nos. 4 and 7 and for Sanctions (the "Motion to Enforce"). In relevant part, Complainant argues that Respondent's searches and productions in response to RFP Nos. 4 and 7 were facially deficient as the searches and documents lacked reference to known third-parties. (*See generally* Motion to Enforce).

On May 21, 2026, I denied the Motion to Enforce finding that it was "unclear that Complainant properly attempted to resolve the issues raised" in the Motion to Enforce "prior to filing the motion." (*See Order Regarding Complainant's Motions of May 9, 2026, and Addressing Deferred Ruling Regarding Complainant's Motion for Reasonable Discovery (the "May 21, 2026, Order")*, at 2). I noted that Respondent all but admitted its document productions had been deficient, and that it may have been engaging in gamesmanship. (May 21, 2026, Order, at 8). But I also noted that Complainant is at least partially responsible for this case taking so long, and noted Complainant's lack of communication. (May 21, 2026, Order, at 8). I admonished the parties to work together to bring this matter to a close. (May 21, 2026, Order, at 8).

On June 1, 2026, Complainant filed Complainant's Renewed Motion to Enforce April 1, 2026 Order as to Requests for Production Nos. 4 and 7 and For Sanctions (the "Renewed Motion to Enforce"). Among other things, Complainant argued that Respondent's productions were missing communications to or from known third-parties, thus Respondent's productions were incomplete. (Renewed Motion to Enforce, at 2-4).

I issued an Order Setting Status Conference on June 2, 2026 (the "June 2, 2026, Order"). In it, I noted that after I denied the original Motion to Enforce, and admonished the parties to work cooperatively, Complainant did not clearly communicate what it wanted from Respondent. (June 2, 2026, Order, at 2). I summarized emails exchanged between the parties after the May 21, 2026, Order, and concluded that "this issue is able to be resolved with a clear discussion between the parties of what Complainant expects to see, and what Respondent needs to produce. I do not see that in the record." (June 2, 2026, Order, at 3). Accordingly, I required the parties to appear at a status conference on June 4, 2026. (June 2, 2026, Order, at 3).

On June 5, 2026, I issued an Order Following Status Conference (the "June 5, 2026, Order"). I ordered that the Renewed Motion to Enforce would be held in abeyance until after Complainant took one of more depositions of Respondent and its employees, and that Complainant could amend the Renewed Motion to Enforce with additional discovery materials.

² At the request of Respondent, I extended the deadline to file a sworn declaration until April 29, 2026. (*See Order Granting Respondent's Motion for Extension of Time*).

The parties were to also file a joint motion to extend discovery by June 10, 2026. (*See generally* June 5, 2026, Order).

On June 12, 2026, I issued an Order Extending Deadlines (the “June 12, 2026, Order”), which set forth the following case schedule, to which the parties agreed:

June 19, 2026	Deadline for submission of additional discovery requests
June 25, 2026	Depositions, if any, begin
July 9, 2026	Close of discovery/completion of depositions
July 15, 2026	Deadline for Complainant to amend Renewed Motion, if amended
July 22, 2026	Deadline for Respondent’s response to Renewed Motion, if amended
August 25, 2026	Complainant’s Opening Brief, Proposed Findings of Fact, and Appendix
September 10, 2026	Respondent’s Opposition Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix
September 22, 2026	Complainant’s Reply Brief and Responses to Proposed Findings of Fact

(*See generally* June 12, 2026, Order).

E. Complainant’s Subpoenas

On July 7, 2026, Complainant submitted several proposed subpoenas to OALJ for me to sign pursuant to 46 C.F.R. § 502.131. In general, the subpoenas were mostly to the third-parties Complainant identified in the Renewed Motion to Enforce. The subpoenas also asked for documents to be produced within 14 days of service.

OALJ sent an email to Complainant on July 8, 2026, indicating that I declined to sign the subpoenas as they were served after the June 19, 2026, deadline for submission of additional discovery requests. They were also submitted two days before discovery cut-off, and thus would not comply with the Initial Order’s requirement that discovery be served in time to be completed before discovery cut-off. (*See* Initial Order, ¶ 13).

F. Motion to Extend

In Complainant’s July 9, 2026, MTE, Complainant argues that the deadline for submission of additional discovery requests should be reopened, and discovery cut-off should be extended. Complainant asserts that Respondent has been engaging in discovery misconduct. Complainant argues that the April 1, 2026, Order is still unenforced. Complainant also argues that the schedule was compressed, the Independence Day holiday cut into the remaining discovery period, and Complainant would be prejudiced.

II. RELEVANT AUTHORITY

Commission Rule 102(a) provides as follows:

- (a) Motions for enlargement or reduction of time for the filing of any pleading or other document, or in connection with the procedures of subpart L of this part, may be granted upon a showing of good cause. Motions must set forth the

reasons for the request and be received at least seven (7) days before the scheduled filing date. Motions filed less than seven (7) days before the scheduled filing date may be considered where reasonable grounds are found for the failure to meet this requirement.

(46 C.F.R. § 502.102(a)).

III. DISCUSSION

The July 9, 2026, MTE is **DENIED** because I do not find that good cause exists for extending discovery cut-off.

Complainant's main argument for extending discovery is that Respondent has been engaged in obstruction and discovery misconduct. In its Renewed Motion to Enforce, Complainant argues that Respondent has failed to produce documents from third-parties despite my April 1, 2026, Order requiring the production of such documents. In addition, Complainant asserts that recent depositions "produced significant material testimony, admissions, contradictions, and factual issues requiring reasonable follow-up discovery" that could not have been addressed before depositions because Respondent's conduct prevented Complainant from identifying and pursuing them earlier. (July 9, 2026, MTE, at 1).

This argument lacks evidentiary support. Complainant does not attach a deposition transcript or other evidence showing allegedly obstructive conduct or misleading testimony. Similarly, at this point, it is not a foregone conclusion that I will grant the Renewed Motion to Enforce, regardless of whether Complainant amends it. I appreciate that Respondent has failed to produce materials timely, and may have engaged in gamesmanship. (*See* May 21, 2026, Order, at 8). Nevertheless, Respondent made the representation that it produced additional responsive discovery materials. (*See generally* Respondent's Notice of Continued Production and Supplemental Compliance with April 1, 2026 Order). Further, Respondent is entitled to an opportunity to respond to the Renewed Motion to Enforce and any amendment Complainant files. Thus, I find that because Complainant has not established Respondent's discovery misconduct, Complainant has not shown good cause for extending discovery.

Complainant also argues that discovery should be extended because the April 1, 2026, Order, remains unenforced. (July 9, 2026, MTE, at 2-3). Complainant alleges that despite my April 1, 2026, Order, Respondent has failed to produce communications or other documents involving third-parties that are related to the two containers at issue. (*See* Renewed Motion to Enforce, at 2-7; *see also* July 9, 2026, MTE, at 2). This is not good cause for extending discovery. In June 2026, the parties agreed to a schedule for the remainder of discovery that contemplated that Complainant would file an amended Renewed Motion to Enforce after discovery cut-off. (*See* Complainant's Status Report Regarding Amended Schedule and Request to Accept Late Filing, at 1-2). In other words, Complainant agreed to a procedure where my April 1, 2026, Order would be enforced, if at all, after discovery cut-off already passed. At this late date in the litigation, however, Complainant now wants to renege on its agreed-upon dates and redo the schedule. That is not good cause to extend the discovery deadline.

Complainant argues that the July 9, 2026, MTE should be granted because the discovery period was compressed and affected by the Independence Day holiday. (*See* July 9, 2026, MTE, at 2). Again, Complainant agreed to the deadlines it now seeks to extend. Accordingly, the compressed deadlines do not establish good cause to extend discovery.

Complainant asserts that this motion is “not the result of Complainant seeking a second chance at discovery[.]” (July 9, 2026, MTE, at 2). I am not persuaded that establishes good cause. The issue of whether Respondent produced third-party communications has been something Complainant has been pursuing since at least May 11, 2026, when Complainant filed its original Motion to Enforce. Nevertheless, Complainant did not request that I sign third-party document subpoenas until July 7, 2026. In other words, Complainant did not request third-party document subpoenas until approximately two months after third-party documents became an issue. Further, Complainant did not seek subpoenas until two-and-a-half weeks after the deadline to serve additional discovery, and until only 2 days before discovery cut-off. There was nothing preventing Complainant from requesting third-party subpoenas any time before the June 19, 2026, deadline for serving additional discovery. For example, nothing prevented Complainant from requesting such subpoenas shortly after the June 12, 2026, Order establishing deadlines was issued.

Regarding Complainant’s argument that it would be prejudiced if discovery is not extended, I am not persuaded that establishes good cause. Complainant has had ample opportunity to develop its case. As noted, initial disclosures were made a year ago. (JSR, at 2). The Scheduling Order was issued July 23, 2025; it contained dates for initial discovery requests to be made within the following weeks. (Scheduling Order, at 1). Nevertheless, the parties were unable to cooperate regarding a protective order and chose to do nothing to advance the case until November 2025. (*See* November 21, 2025, Order). Two more discovery extensions became necessary. (*See* March 20, 2026, Order; June 12, 2026, Order). Moreover, I have also observed that Complainant has not communicated well nor been cooperative itself. (*See* November 21, 2025, Order; May 21, 2026, Order; June 2, 2026, Order). Indeed, I warned the parties expressly that because of their delays, I would not necessarily grant motions to extend in the future. (November 21, 2025, Order, at 2).

For these reasons, I **HEREBY ORDER** that the July 9, 2026, MTE is **DENIED**. The deadlines set forth in the June 12, 2026, Order, remain operative.³

Richard C. Ambrow Jr -S

Richard Ambrow
Administrative Law Judge

³ Should the Renewed Motion to Amend be successful, I may permit limited follow-up discovery.